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YOUR MONEY, YOUR GOALS

A financial empowerment toolkit

cfpb Consumer Financial Protection Bureau

MODULE 1

Setting Goals

Turn your hopes, wants, and dreams into reality by setting and achieving goals.

At a glance

This module can help you create a plan to fulfill your dreams by learning how to set, adjust, and reach your short-term and long-term goals.

- **Setting SMART goals**
- **Putting goals into action**
- **Planning for life events and large purchases**
- **Revising your goals**

Introduction

Everyone has a different idea of the future they want to build. What do you want to accomplish in the near future? What do you want for yourself and your family in the long term? These ideas of your future are your hopes, wants, and dreams.

But they don't just happen on their own. Accomplishing your dreams means thinking about the money you need to help make them come true.

It's also important to think about your values, the things that are meaningful to you and your family. Your values help shape how you prioritize what you do with your

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time, energy, and even money. If your goals support your values, you'll be more likely to prioritize them, which gives you a greater chance of accomplishing them.

Setting goals along the way is a good strategy to help you achieve your dreams. Some goals may take a few weeks or months to reach, like saving money to buy gifts for the holidays or buying a new mattress. These are short-term goals. Others may take many months or even years to reach, like sending your child to college or paying off a large debt. These are long-term goals.

Hopes and dreams can be turned into goals

While hopes and dreams can motivate us, they're often open-ended or vague. That makes it hard to build a plan to reach them. For example, most people say they want to make a better life for their children. But you have to think about the specifics of what "a better life" means for you, in order to build a plan to get there.

That plan can be made up of one or many smaller goals. When you set goals, you can:

- Work toward making your future better
- Prioritize how you spend your money so that it goes toward things that really matter to you
- Measure and track your progress toward getting the things you want out of life
- Take pride in bettering your life and the life of your family

Creating effective goals

It's great to set goals. It's even better to set SMART goals. Using the SMART goal method brings structure to your goal setting. This makes it much more likely that you'll be able to achieve your goals.

All SMART goals have five characteristics: they are (S)pecific, (M)easurable, (A)chievable, (R)elevant, and (T)ime bound. Each part contributes to why this method is effective in goal setting.

SPECIFIC

A specific goal has a much greater chance of being met than a general one because it provides something defined to reach for. For instance, it's much easier to plan a trip to Boston than it is to plan a trip "to the east coast."

MEASURABLE

You should be able to track your progress toward meeting the goal. Otherwise, it will be difficult to determine if you are going to achieve it. For instance, "Save $5 a week" is measurable. "Save more money" is not.

ACHIEVABLE

You might want to get out of credit card debt tomorrow or become a millionaire within a year, but for most of us, those are unrealistic goals. That doesn't mean that your goals should be easy. Your goal may be a stretch for you, but it should not be extreme or impossible. If the goal feels like too much of a stretch, try breaking it down into smaller, more achievable goals.

RELEVANT

Set goals that matter to you and are a priority in your life. This makes it more likely you will prioritize the time and effort it takes to achieve them.

TIME BOUND

Goals should have a clearly defined time frame, including a target or deadline date. This helps ensure they are measurable and that steps are taken to reach the goal by the target date.

Setting goals for life events and large purchases

People often put off planning for large purchases or significant life events because they're struggling just to make ends meet today. Or don't think they have enough money to save.

But if you don't plan ahead for how you're going to meet these goals, you won't have the money to achieve them. This can add even more stress and uncertainty at times when a large purchase is necessary or life takes an unexpected turn.

Planning in advance for large purchases not only helps you better achieve your goals, but helps remove anxiety around the purchase.

Large purchases may include things like:

- Training or educational expenses
- Tools or equipment you need for your job
- A car or home

There are also goals around things that happen in your life. Some of these life events are planned, while others happen without much warning. Creating goals around these events in advance helps you better achieve what you want and reduces stress when difficult life events do occur. Since many of these events happen later in life, it can give you more time to plan for them. This also means you can save smaller amounts over a longer period of time.

Here are just a few examples of the types of life events people experience that may require saving for in advance:

- Moving in with a partner, getting married, getting separated, getting divorced, or becoming widowed
- Birth or adoption of a child
- Illness or short- or long-term disability
- Loss of a job (covering the gap unemployment benefits don't cover)
- Celebrating a landmark birthday or anniversary, accomplishment, or rite of passage
- Death of a family member
- Retirement
- Your own final expenses

If you're being pressured to make a big-ticket purchase on-the-spot or salespeople are telling you conflicting things, that's a sign that something's not quite right with the deal.

Learn more about warning signs for scams in Module 9: Protecting your Money.

What's inside

This module has three tools and a handout to help you create a plan for reaching your short-term and long-term goals. It also teaches you how to readjust your goals and reevaluate the plan to achieve them as needed.

Here are suggestions for how to make the most of the time you have.

If you have...

10 MINUTES

- Use "**Setting SMART goals**" to identify goals that will help you plan for and attain the things that matter most to you

30 MINUTES

- Complete "**Setting SMART goals**"
- Use "**Putting goals into action**" to create a plan to achieve your goals

MULTIPLE SESSIONS

- Use "**Planning for life events and large purchases**" to help you develop a plan to pay for things like a big celebration, a car, or your child's college tuition
- Follow up to see if progress is being made toward your goals
- Use the "**Revising goals**" handout to update or revise goals as needed

GETTING STARTED

Setting SMART goals

Setting goals is the first step toward achieving your dreams. This tool teaches you how to effectively set goals that are SMART—meaning they are **(S)**pecific, **(M)**easurable, **(A)**chievable, **(R)**elevant, and **(T)**ime bound

SMART goals provide an easy-to-follow structure for creating goals. This helps you really break down what you want into a format that makes it simpler to plan for, track, and ultimately achieve your goals.

To create your goals, first think about your values. When your goals match up with the values that are important to you and your family, you're more likely to prioritize achieving them.

If you're not sure what your goals are, think about what you want to change in your life. See if there's a goal you can create that would help bring about that change.

It's likely there are many things you want to achieve. But if you can focus on one or two priorities that align with your values, you'll have a better chance of reaching that goal.

What to do

- **List your values** to help you think about what is important to you and your family.
- **Brainstorm a list of dreams and goals.** Remember, dreams are aspirational and usually vague. Goals are specific things you can achieve to help you reach your dreams.
- **Create a SMART goal** from one or two items on your list of goals. Write down what makes this goal specific, measurable, achievable, relevant, and time bound.

A step further

After you've written down your SMART goals, take a look at the "Putting goals into action" tool to create an easy-to-follow plan for achieving your goals.

Setting SMART goals based on your values motivates you to achieve them

1. Think about your values and choose which ones are most important to you.
2. List some things you'd like to change about your life and dreams you have.
3. Pick one or two items from your list of brainstormed ideas and create a SMART goal. Make copies of the next page if you want to set more than one goal.

Which values are most important to you?

Family/friends	Reputation	Status
Freedom	Self-respect	Other:_____
Happiness	Spirituality	Other:_____
Health	Stability	Other:_____

What are your hopes, wants, and dreams?

Thinking about your values, write a list of things you'd like to change and dreams you have. They can be short term (less than six months to achieve) or long term (more than six months to achieve).

Things I'd like to change	Dreams I have for myself and my family

Use your list of dreams to create a SMART goal.

Remember that SMART goals are **S**pecific, **M**easurable, **A**chievable, **R**elevant, and **T**ime bound.

My SMART goal is...

To make sure your goal is SMART, write in what makes your goal specific, measurable, achievable, relevant, and time bound.

SMART characteristic	Questions to ask yourself	Your answers
Specific	What will I achieve? Who will benefit from the goal? What specific thing will I accomplish?	
Measurable	How much? How many? How will I know when it's done?	
Achievable	Is this goal something that I can actually reach? Do I have the tools and support I need to accomplish this?	
Relevant	Is this something that I really want? Is now the right time to do this? Why is this goal important?	
Time bound	When will I reach this goal? Is the time frame reasonable?	

GETTING STARTED

Putting goals into action

Before you can accomplish a goal, you need a plan for how to achieve it. This tool helps you turn your SMART goals into an easy-to-follow action plan.

All goals take time and commitment to achieve. One of the most effective ways to accomplish your goals is to create an action plan outlining the steps you'll take.

Many goals also require external resources to achieve. These resources could include needing information, tools, transportation, or even a professional financial coach or counselor to help you. These kinds of resources should be added to your action plan.

Research shows that people who write down specific goals are much more likely to reach their goals than if they don't write them down.[1] Sharing those goals with a friend and checking in with them regularly about your progress also increases the chances that you'll reach your goals.

What to do

- **Break up your goal into small, actionable steps**. Write each step in a separate box.
- **Consider what resources you will need** to take each step and write them next to that step.
- **Set a deadline** for each step's completion.
- **Think about sharing your progress** with a friend or family member. Add their name next to the step and how often you will check in with them. This can help keep you motivated.

A step further

Now that you have an action plan for accomplishing your goals, take a look at Module 2: Saving to learn more about how to save money to achieve your goals.

1 Based on research performed by Dr. Gail Matthews, Dominican University of California.

Make a plan for **Putting goals into action**

1. Pick a SMART goal that you want to achieve and break it up into steps.
2. Write down each step, the resources you'll need to achieve it, and the due date for completing it.
3. Pick a friend or family member to tell about your goal and check in with them on a regular basis. This will help you keep yourself accountable.

Select a SMART goal you want to achieve.

My SMART goal is...

Make an action plan for your SMART goal.

Steps List one specific step in each box for achieving your goal	Resources I need This can be things like tools, information, transportation, assistance, or money	Date to complete step	Who will I check in with? And how often will I check in?
1.			
2.			
3.			
4.			

GETTING STARTED

Planning for life events and large purchases

Planning makes it easier to achieve long-term goals, like buying a car or having a wedding. This tool helps you think about what you want to achieve and how you can get there.

Think about the life events you are likely to experience and the large purchases you might need to make. For most people, saving and starting early can make it easier. If you, like some people, end up borrowing money to make a big purchase, you can save in interest and fees if you have savings to cover some of the costs. You can also think about creative ways to save money.

What to do:

- **Brainstorm a list of expenses** using the categories at the top of the tool as a guide. Consider when you are likely to experience various life events (like a graduation party or having a child) or when you expect to make large purchases.
- **Research and estimate the actual costs**. Add in any associated expenses (like the interest you might pay on a car loan). If the life event or purchase is likely to happen more than five years from now, remember that the cost of almost everything increases over time, so add some extra money to the cost to cover this.
- **Identify how much you might borrow versus how much you'll need to save.** Many large purchases require a combination of borrowing and paying a portion up front.
- **Identify ways to keep the costs as low as possible.** For example, for a large party, you could save by asking family and friends to help you prepare food rather than hiring a catering company. You can also research when items are most likely to go on sale or ask for discounts. It may only be 5% or 10% off, but these can add up!

A step further

After you've thought about your plan, see Module 2: Saving to create a savings plan so you know how much to save each week or month to achieve your goal.

Planning for life events and large purchases can help you save for them

1. Brainstorm a list of expenses and when they're likely to happen.
2. Estimate the costs of these expenses.
3. Identify potential ways to pay for the expenses.

Common life events and large purchases to help you brainstorm:


Buying a car


Birth or adoption


Marriage


Tools for work


Birthday or rite of passage


Buying a house


College or training

Future purchase or life event I want to plan for	Timeframe	Cost	Amount I want to save	Amount of credit I'll need

Revising goals

Goals aren't something you can "set and forget." You need to revise them as the situation changes or you may find yourself off track.

Here are some common reasons you may need to adjust your goals and some tips for how to revise them.

MY CIRCUMSTANCES HAVE CHANGED

When your circumstances change due to life events (such as losing or getting a job, earning more money, having a child, having a health emergency, etc.), review your new situation with your goals.

Ask yourself:

- Do these goals still match up to my current circumstances?
- Are these goals still attainable with this new circumstance?
- Could my circumstance help me reach these goals faster?
- Could my circumstance make me reach these goals more slowly?

Take action

As circumstances change, your priorities may also shift. For example, if you lose your job, you might change your goal of saving for a nicer car to a goal of making sure that the car you have continues to run well.

If it's a critical goal that can't be adjusted, you can look at adjusting other goals to ensure you have enough money to fund the more critical one.

If your circumstances change for the better and you have extra money to put toward a goal, like from a tax refund or an inheritance, think about putting some of the lump sum toward one of your savings goals. This can help you reach that goal faster.

I CAN'T MEET MY WEEKLY SAVINGS GOAL

If you come up short of your savings goal each week, that doesn't mean you should stop saving. You may just need to adjust your goal.

Ask yourself:

- Can I change the total amount I'm trying to save?
- Can I change the length of time I have to save for my goal?

Take action

Let's say your goal is to buy a new $600 TV three months from now. One month into saving, you have some unexpected medical bills and can no longer afford to save as much each week. You can choose to buy a less expensive TV two months from now, meaning you need to save less money overall. Or you could choose to wait six months to buy the $600 TV, meaning you have longer to save.

Either way you adjust your goal, the amount of money you need to save each week is reduced. And you can still save enough to buy the TV.

I'VE USED UP MY EMERGENCY SAVINGS

If you've used your emergency savings, then they've served their purpose. But now it's time to replenish them.

Ask yourself:

- Should I change how much I save each week for my emergency fund?
- Should I revise any other goals?

Take action

Determine how much you want in your emergency savings and by when. Calculate the amount you need to save weekly or monthly to meet that goal and start saving. See **Module 2: Saving** for more information on this topic.

You may need to adjust other goals in order to save enough each week. Think about where your priorities are and how you may be able to adjust the total amount or length of other saving goals.

MY GOAL DOESN'T FEEL IMPORTANT ANYMORE

Sometimes circumstances change and a goal no longer feels important. And that's OK. If the goal you set before no longer feels right for you, set it aside and make a new goal that does feel right.

Ask yourself:

- Does this goal still support my values?
- What's important to me now?

Take action

Create a new goal that is important to you now. You can always add existing savings from the old goal to something new.

Remember, setting goals and working toward them is a process that never really ends. If one of your goals has been achieved, it's time to start the process again and set a new goal. Think about what you want for yourself and your family and keep working to achieve your goals.

MODULE 2

Saving

Saving on a regular basis can help you make progress toward achieving your goals and better handle unexpected expenses when they come up.

At a glance

This module can help you create a savings plan with weekly targets to help you reach your goals.

Savings plan

Saving and asset limits

Finding a place for savings

Saving at tax time

Introduction

Savings is money you set aside today to use in the future. It could be for something you need in the next few months or even years from now.

People save for many reasons:

- Unexpected expenses and emergencies
- A bill they know will be due every few months, like car insurance
- Annual expenses like children's school supplies

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- To pay for their own goals, like a new TV, appliances, a car, a home, their children's education, or retirement

Reasons to save

Everyone has their own reasons to save, but there are common categories that most people think about when setting their savings goals.

SAVING FOR EMERGENCIES

Everyone has unexpected expenses and emergencies—a car repair, the need to travel to help a sick family member, paying the bills when you've had a cutback in hours or even lost your job.

When you save in advance for unexpected expenses and emergencies, you're better prepared to handle them without having to skip paying your other bills or borrowing money.

If you have to skip paying other bills to pay for an emergency, there can be negative consequences like having to pay late fees or having services turned off. If services like your electricity or other utilities do get shut off, then you have to come up with even more money to turn them back on.

If you borrow money for unexpected expenses, you will likely have to pay fees and interest on what you borrow. And on top of that, you'll probably have to use some of your future income to pay back the money you borrow. **So saving money now for unexpected expenses and emergencies can save you money later.**

Consider starting an emergency fund with $500 as your goal.[2] This is enough to cover a lot of common emergencies like a new tire for your car, a plane ticket to care for a sick family member, or minor medical costs. Once you reach $500, consider increasing your goal to $1,000. This may be enough to help cover your rent if you lose your job, take care of an insurance deductible for major car repairs, or pay for many household repairs.

Having this kind of emergency savings fund is the foundation for setting other savings goals. Once you have this set up, it's easier to focus on saving for other things without worrying about how you would handle an emergency expense.

2 While the target amount for an emergency fund will vary from person to person based on their needs, $500 to $1,000 has been suggested as a starting point. See americasaves.org.

SAVING FOR PERIODIC EXPENSES AND GOALS

Once you have some money set aside for unexpected expenses you can start planning for upcoming expenses and goals.

Many people have goals they want to accomplish that require saving money. Some goals can take several months to achieve, like saving for a new TV. Others can take many years, like paying for a child's education. **If you decide to save money for a goal, make sure the money you're saving is separate from your emergency fund.** That way, if an unexpected expense comes up, using your emergency fund won't come at the cost of achieving your goal.

It's also important to save for periodic expenses (those that come only once or a few times a year) like renters insurance, income taxes, car insurance, or children's school supplies. While they're not unexpected, these expenses can be difficult to pay for all at once if you haven't been setting money aside for them.

SAVING FOR LEAN TIMES

Saving money is particularly important if your income fluctuates or varies from week to week. This could be because your income changes depending on how many hours you are scheduled to work each week. It could also be because you work seasonally, rather than year-round. In both situations, setting aside money in weeks or months with higher income can help you pay your bills on time when your income decreases or stops.

SAVING FOR EDUCATION

Saving for college or technical training for you or your children may be one of your goals. Training and education after high school or completing a General Educational Development (GED) test can be an important investment of both time and money.

Saving for education can reduce the amount of student loans you need and may provide more options for education and training after high school. There are many financial products that can help you save for an education, including savings accounts and certificates of deposit.

There are also investment products designed specifically for this purpose. One option is a 529 savings plan. These tax-advantaged savings plans can help parents, guardians, grandparents, and others save and invest for an education. For more information on saving for education expenses using a 529 plan, visit collegesavings.org.

TO TEACH YOUR CHILDREN ABOUT SAVING

In addition to leading by example with your own savings, one of the best ways to teach your children about the importance of saving is to start a savings account for them.

There are many benefits of opening a savings account for a child.

This kind of account can:

- Provide a secure place for a child to put money they earn or receive as gifts
- Introduce a child to saving and using financial services
- Help to establish healthy attitudes about money and saving
- Help a child to learn to plan for the future
- Provide a way to work with your child to achieve a goal together

Check with your bank or credit union to see if they are able to open an account in your child's name or a joint account in the name of both you and your child. Each financial institution has its own policies, so research local and online bank and credit union options.

Taking the first step to saving

Saving is hard on a tight budget. After you've made a decision to save you have to find the money to do it. There are only two ways to find money to save: spend less or earn more.

You can decrease spending and put the money "not spent" into savings. In some cases, the easiest way to find money to save is to cut one major expense. This may mean dropping a service or membership you're paying for but don't use very often. Or it could mean cutting back on the level of service, like going from premium cable to basic.

If there are no "major costs" you can cut, you may choose to cut back a little bit in several different categories of spending in order to save. For example, you might cut back on eating out and combine errands to spend less on gasoline. The savings from making small changes like this can add up.

In addition to cutting expenses, there's also the challenge of where to actually store your savings so you aren't tempted to spend it. If you don't have a place to set savings aside, it can be easy to spend the money on something else. If you have cash, you could move the money you save into a savings jar or envelope in your home. Then in order to keep it secure as it grows, you could deposit the cash into

a savings account at a bank or credit union. Some people choose to load it onto a prepaid card.

Some prepaid cards have a set-aside feature, sometimes called a "purse" or "wallet." This feature lets you set aside some of your funds on the card. But if you need to use the funds for an unexpected expense you can easily transfer it back to the spending portion of the card. When you pick a prepaid card be sure to ask or read about all of the card's fees so that you'll know what it costs to have and use the card. If you choose to use a savings account, you can usually transfer part of that money to a checking account at the same bank or credit union easily when you need it.

You can learn more about the benefits and risks of various places to keep your savings in the "Finding a place for savings" tool.

You can also increase your income as a way to increase savings. For example, if you don't already, you could work a second job part-time and save some of that extra income.

Sometimes you experience an unexpected increase in income. For example, you may get unanticipated overtime, extra hours at work, a bonus, or a tax refund. Consider setting aside some of this "extra" income into your savings account.

If you get paid bi-weekly, there are two months each year when you get three paychecks instead of two. You can take advantage of this "extra" paycheck to save for unexpected expenses later in the year. These are great opportunities to put some money away into your emergency savings fund. That way, you have a cushion to rely on when times are leaner.

If you receive a tax refund, you could save part of it for emergencies or unexpected expenses, set it aside for predictable annual expenses, or put it toward meeting one of your goals. The "Saving at tax time" handout can help you think through some options for how to make saving a priority when you get a tax refund.

If you want to use these strategies to build your savings, be sure that some of that new income gets moved into the place you have decided to save it.

If you get a notice from the IRS that someone used your Social Security number to file taxes and you didn't file them, you may be the victim of identity theft.

Learn more about ways to prevent identity theft and how to report it in Module 9: Protecting your Money.

Making savings automatic

People who save successfully generally choose an automatic system of saving for their goals. They make the decision about where to save, set up the system, and then save money from every paycheck without having to think about it.

If you have a bank account and direct deposit, you can arrange to automatically deposit some of your paycheck into a savings account every time you are paid. For example, if your weekly paycheck of $245 is directly deposited into your checking account, you can have $10 automatically deposited into a savings account. Once you set this system up, you may even "forget" about that $10 because you don't see it in your checking account. This can make it easier to adjust your spending to offset having $10 less per week. If you don't use the money in the savings account, you'll have over $500 by the end of the year.

Check with your employer to learn more about direct deposit and other options for automatically saving some of your paycheck.

You can save while receiving public benefits

If you receive public benefits and want to start saving for emergencies and goals, you may want to know about asset limits. **Assets are things that you own.** Assets can include money in a savings or checking account, and things like your car, home, land, and business inventory.

Asset limits are rules about how much you can have or save before your benefits are reduced or taken away. Since assets help people achieve financial security, some assets won't count against allowable limits. Generally, the assets that may count against allowable limits are "liquid," which means they are similar to cash. Some examples of liquid assets are money in a checking account, savings account, or investment accounts. While things like a home or car that you own are also considered assets, they're not liquid assets, so some program rules don't count them against the allowable limit.

Different benefits have different limits and all states have their own asset limit policies. Knowing each program's asset limits may help you avoid unexpectedly losing your benefits as you're saving to reach your goals. Use the "Saving and asset limits" tool to figure out the asset limits for your benefits.

What's inside

This module has three tools and a handout to help you take steps to build savings and think about a place to keep the money you've set aside. It also discusses asset limits and how you can turn your tax refund into an opportunity to kick-start your savings.

Here are suggestions for how to make the most of the time you have.

If you have…

10 MINUTES

- Use "**Savings plan**" to build a weekly savings target that will help you accomplish your goals

30 MINUTES

- Complete "**Savings plan**"
- Use "**Find a place for savings**" to pick a place that's right for you to keep your savings

MULTIPLE SESSIONS

- Review the "**Saving at tax time**" handout for tips on how to prioritize saving when you get your tax refund
- Use "**Saving and asset limits**" to get a clear picture of how much you can save while still maintaining your public benefits

GETTING STARTED

Savings plan

Making a weekly savings target helps make saving easier by breaking it up into manageable pieces. This can help you reach your goals and deal with unexpected expenses.

There are many benefits to having a savings plan.

- Your plan builds your own personal safety net one week at a time. As you build savings, you can have peace of mind knowing you have a little money set aside for the unexpected—and that means you'll spend less on late fees for missed bill payments and the costs that come with borrowing money to cover expenses.
- As you watch small amounts add up, you'll build confidence and move closer to reaching your goals.

What to do

- **Pick a reason for saving.** Consider starting an emergency fund or use the tools in Module 1: Setting Goals to come up with a SMART goal.
- **Figure out how much money you'll need to save for that goal and how many weeks you have to save.**
- **Divide the amount of money you want to save by the number of weeks you have to save it.** That's your weekly savings target.
- **Brainstorm some ways to decrease spending or increase income** to meet your weekly savings target.

A step further

Use the "Find a place for savings" tool to identify the best place to keep your savings.

Creating a **Savings plan** can make it easier to save

1. Write down the goal you're saving toward.
2. Figure out the total amount you need to save to reach that goal.
3. Decide how many weeks you have to save.
4. Divide the total amount by the number of weeks. That is your savings target.
5. Think about ways you can cut expenses to match the total amount you need to save per week.

Create a savings target.

	EXAMPLE	YOUR INFORMATION
Savings goal	Save $1,000 for an emergency fund within 10 months (about 40 weeks)	
Total amount needed	$1,000	
Weeks to reach goal	÷ 40	÷
Weekly amount to save	= $25	=

Brainstorm strategies for saving.

	EXAMPLE	YOUR INFORMATION
Strategies for saving and amount saved per week	Switch from premium cable to basic ($40/month = $10/week) + $10 Cut down on eating out + $15	
Total projected savings per week	= $25	=

GETTING STARTED

Finding a place for savings

Once you've decided to save you should decide where to keep your saved money.

It's one thing to start saving money. It's another to figure out where to actually store that money for safekeeping. There are many places you could keep your savings, each offering specific risks and benefits. Some things to think about are how secure it is, whether there are costs associated with keeping it there, and how accessible it is.

For example, keeping savings in a secret place in your home is easily accessible and is free, but may be less secure in the case of theft or a fire.

On the other hand, a bank or credit union could be less convenient, but is very secure. The Federal Deposit Insurance Corporation (FDIC) and National Credit Union Administration (NCUA) guarantee that the money people deposit will be there when they want to withdraw it. So, if you have less than $250,000 deposited in a checking or savings account at an insured bank or credit union, you'll get all your money back if the bank or credit union fails.

Weighing the benefits and risks of each place can help you decide what works best for your savings.

What to do

- **Carefully review the benefits and risks** of each place to keep your savings.
- **Write down what questions you have** about options that may be right for you.

Finding a place for savings helps ensure it's there when you need it

1. Evaluate the benefits and risks of each place to keep your savings.
2. Write down questions you have about options that you think could be right for you.

	BENEFITS	RISKS	QUESTIONS I HAVE
Account at bank or credit union (savings, checking, or share draft)	▪ Money is protected if the institution is federally insured, up to $250,000 per depositor ▪ Money can't be lost, stolen, or destroyed in a fire or other disaster ▪ You can generally get it back if someone steals it by using electronic means or a debit card	▪ May be charged fees if you don't follow the rules for the account, such as having to keep a minimum balance or overdraft fees ▪ May be difficult to open an account based on previous banking history	
Family member or friend	▪ No costs to maintain it	▪ Can be lost, stolen, or destroyed in a fire or natural disaster ▪ Might put your friend or family member at risk of a home invasion ▪ May put your money at risk if your friend or family member betrays your trust	

	BENEFITS	RISKS	QUESTIONS I HAVE
 Home	▪ No costs to maintain it ▪ Easy to access ▪ Convenient	▪ Can be lost, stolen, or destroyed in a fire or natural disaster ▪ Might put you at risk of a home invasion	
 Prepaid card	▪ Easy to access ▪ Convenient ▪ No bank or credit union account needed	▪ May have fees for activation, loading funds, using the card, etc. ▪ May not have the same protections as a bank account if your card or account information is lost or stolen Note: Check the card agreement to make sure you understand the fees and review the "Knowing your prepaid card rights" handout in Module 8.	
 U.S. savings bonds	▪ The money can't be lost or destroyed in a fire or other disaster. If you have a paper bond, the funds can still be recovered	▪ You lose some of the interest if you cash the bond before it matures ▪ More difficult to access if you need the money right away	

MODULE 4

Paying Bills

Learn to organize, track, and prioritize your bills and expenses.

At a glance

This module can help you better understand where your money is going and learn how to reduce expenses and pay bills more efficiently.

- Spending tracker
- Bill calendar
- Choosing how to pay bills
- Cutting expenses
- Prioritizing bills

Introduction

"To stay financially healthy, you should spend less than you earn." This simple rule may work for many people, but it isn't very helpful if you can't afford to pay all of your bills and living expenses.

For some, balancing personal priorities and family expectations can sometimes be a challenge. And if your work is seasonal or irregular, you may be able to cover everything when you're working, but struggle to cover expenses in the months or weeks when you're not.

Having a problem with the bill payment service through your bank or credit union?

You can submit a complaint and we'll forward it to the company and work to get you a response. Submit online at **consumerfinance.gov/complaint** or by calling (855) 411-2372.

Planning for bills

The more you can prepare for the bills you know are coming, the better you can save for them. Having a plan and system in place for paying bills can make them easier to pay and help reduce stress. Before you can make a plan you have to first know how much income is coming in, how much spending is going out, and what bills are due when.

It's impossible to know if you're going to be able to afford all your bills unless you're familiar with how much you're expected to pay each month. Make sure you know what bills are due, how much they usually are, and what time of the month they're due.

Tracking your spending is another good way to plan for bills. When you categorize and write down how you're spending your money, it makes it easier to know where you might be able to cut back. It also helps you think about how much of your spending is on needs versus wants.

For example, before you make a purchase you can stop and ask yourself if it's something you need or want. You can also think about if making that purchase is going to make it harder for you to pay all your bills this month.

Wants versus needs

Separating needs, obligations, and wants can empower you to set priorities and understand more clearly where you can make changes if you decide your spending isn't matching your priorities.

Needs are the things you must have to live. These include shelter and utilities, food, medication, clothing, and transportation. Even with needs, deciding what you can afford, maintain, and are able to pay for can be a challenge.

Obligations include debts you owe and payments you've been ordered to make, such as child support, spousal support, and other judgments.

Wants are the things you would like to have but can survive without. For example, a reliable car to get to work is a need. A new car might be more of a want. But it's not always so clear-cut. One person may view something as a want, and another person may see it as a need.

Making paying bills easier

If there's just not enough money to pay all your bills every month, you can try to cut expenses by making changes in your life. You might bring your lunch to work instead of buying at the cafeteria or use coupons when shopping at the grocery store. Even small changes can make a difference on being able to pay all your bills.

Another thing you can do to make paying bills more manageable is look at when you have income coming in versus when bill payments are due. If you get paid at the end of the month but most of your bills are due at the beginning, it could make it hard to pay them on time. Many financial institutions will work with you to change the due date to make it easier for you to make those payments.

You can also think about what methods you want to use to pay your bills. Each method has its own advantages and disadvantages. It's important to understand what options are available, so you can decide what works best for you.

Protecting your information on digital money apps

It's becoming more popular to use mobile apps to keep track of your bills and other spending or a digital wallet to make payments. While they can be convenient, there are some things to keep in mind about protecting your money and information when using these types of digital tools.

First, find out if there's a fee to use them. Some apps that appear to be free may have fees when you try to use them to send money or take a percentage of money that's sent to you.

It's also important to safeguard your personal information. Some financial apps require you to enter the information that you want the app to use, like billing address or credit card information. Others pull information automatically from your financial accounts, but only after you give permission for the app to do that.

- Don't conduct financial transactions on public Wi-Fi.
- Password-protect your mobile device and any financial accounts you have access to. Don't save your passwords to financial accounts on your mobile device.
- Make your password longer and stronger to make your information more secure. Don't repeat passwords, don't save them in web browsers, and don't use common words or phrases that can be guessed.
- Use two-factor authentication to help protect your accounts. This is a two-step process in which you have to enter your password and then a code sent to you via text or email. Many banks and other financial service providers now offer this extra layer of protection. Take advantage of it.

- Most devices have a remote access feature. You can lock your device, delete sensitive information, or activate the alarm if it's lost or stolen. Make sure you activate this feature on your device.
- If your device is lost or stolen, you may need the make, model number, and serial number. Go to your phone settings and look for the "About" or "About phone" feature, which will display all of this information. Take a screenshot and email it to yourself, so you'll have it if you need it later.

If your device is lost or stolen, contact your wireless carrier immediately. If you use a digital wallet, contact the financial institutions that issued those cards. Also contact any financial institution for which you had a username or password saved on your phone.

If your regular bills or account statements aren't arriving on time, you could be the victim of identity theft.

Learn more about ways to prevent identity theft and how to report it in Module 9: Protecting your Money.

What's inside

This module has five tools to help you gain a better understanding of how you spend money, when bills are due, and how to cut expenses if you need to.

Here are suggestions for how to make the most of the time you have.

If you have...

10 MINUTES

- Use the "**Spending tracker**" to get a clear picture of where you're using your money and financial resources

30 MINUTES

- Use "**Choosing how to pay bills**" to learn about all of the payment options you have for paying your bills
- Use "**Cutting expenses**" to brainstorm ideas for cutting expenses from your budget
- Use "**Prioritizing bills**" to make decisions about which bills to pay when you can't make ends meet

MULTIPLE SESSIONS

- Use the "**Bill calendar**" to visually organize all of your bills in a monthly calendar

GETTING STARTED

Spending tracker

Before deciding on changes to your spending, it's a good idea to understand how you use your money now.

Keeping track of what you earn and everything you spend money on for a month, rather than just a week or two, lets you see all of your income and expenses in one place. Many people who track their spending for a month discover that they're spending money in small ways that add up and sometimes don't match their priorities. Once they track their spending, many people can find money to save for emergencies, unexpected expenses, and goals. Others are able to balance their budgets.

What to do

- **Get a small container or envelope**. Every time you spend money, get a receipt and put it into the case or envelope. If the receipt doesn't list what you purchased, take a few seconds and write it on the receipt. If you don't get a receipt, write down the amount and what you purchased on a piece of paper and add it to the stack. If you use a mobile device to keep track of your spending, make sure you read the "Protecting your information on digital money apps" tips in Module 4.
- **Analyze your spending.** Go through your receipts and enter the total you spent in each category for each week. Add the weekly amounts per category. Write these down in the "Category totals" column. Once you have these totals, add them together to get your total spending for the month. If tracking your spending for a whole month seems too difficult, try it for just one or two weeks.
- **Notice trends.** Circle items that are the same every month (like rent, car, or cell phone payments). These are often your needs and obligations. This will make creating your budget easier. Identify any areas you can eliminate or cut back on—these will generally be wants.

A step further

Once you've tracked your spending, be sure to add it into your budget or cash flow budget. Learn more about cash flow budgets in Module 5: Getting through the Month.

CATEGORIES USED IN THE SPENDING TRACKER

	**Cell phone**	Any costs related to having and using your cell phone
	**Debt payment**	Credit card payments, payday loan payments, pawn loan payments, auto title loan payments, other loan payments
	**Eating out**	Any meals or beverages purchased outside of the home
	**Education + childcare**	Childcare costs, school supplies, school materials fees, field trips, other activity fees
	**Entertainment + personal care**	Movies or concerts, sports equipment/fees, sporting events, lottery tickets, alcohol, books/CDs, subscriptions, streaming services, haircuts, hygiene items, dry cleaning
	**Groceries + other supplies**	Food and beverages brought into the home, household supplies (diapers, paper towels, etc.)
	**Health expenses**	Co-payments, medication, eye care, dental care, health insurance premiums
	**Helping others**	Donations to religious organizations or other charities, gifts
	**Housing + utilities**	Rent, mortgage, insurance, property taxes, electricity, gas, water and sewage, landline, television, Internet service
	**Pets**	Food, vet bills, and other costs associated with caring for your pets
	**Transport**	Gas, car payment, insurance, repairs, transit fares, ride services, cabs
	Other	▪ Court-ordered expenses (child support, restitution) ▪ Household items (things for your home like cleaning supplies, kitchen appliances, furniture, other equipment) ▪ Savings (saving for emergencies, goals, back-to-school expenses, holiday purchases, children's education, retirement) ▪ Tools or other job-related expenses (equipment, special clothing, job-related books, machinery, working animals or livestock, union dues)

A **Spending tracker** can help you analyze and change your spending habits

1. Get an envelope to collect your receipts.
2. Use the table to track your spending in the categories below. Don't forget about bills you share with others.
3. At the end of the month, add up each category.

Spending for the month of:

_____

	WEEK 1	WEEK 2	WEEK 3	WEEK 4	WEEK 5	CATEGORY TOTALS
Cell phone						
Debt payment						
Eating out						
Education + childcare						
Entertainment + personal care						
Groceries + other supplies						
Health expenses						
Helping others						
Housing + utilities						
Pets						
Transport						
Other						

Total spending this month:

GETTING STARTED

Bill calendar

You may be able to avoid late fees and other consequences of missed or late payments if you set up a bill calendar so you can see when payments are due.

Most people have recurring bills and expenses like rent, utilities, car payments, and insurance. Most of these bills have a fixed due date. If you are late, even by a few days, you will likely pay an extra fee. You may also risk a negative entry in your credit record.

Figuring out which bills to expect helps you plan to have enough money on hand. Some people find that thinking ahead helps reduce the stress when bills arrive.

What to do

- **Gather all the bills you pay in one month** or use the information from your spending tracker. Remember to include any bills that are paid automatically.
- **Write the date when you must send the payment** or when the money must be taken out of your account, in advance of the due date. If you're paying by mail, mark the due date at least seven days before it is due. For in-person or online bill payment, mark two or three days before the due date to ensure you are not late.
- **Write down the name of the company or person you owe the money to and the amount that's due** on the date the bill must be sent to arrive on time.
- **Put this calendar where you will see it every day.**

A step further

Once you have finished adding your bills, add your sources of income as well. Write in the dates and amounts you get paid or when you receive other income. Use the "Bill calendar" to compare your weekly bill totals to your weekly income totals. If you have more bills than income in a given week, consider asking to change the due dates of some of your bills. See the cash flow tools in Module 5: Getting through the Month for more information on balancing your income with your bills and expenses.

Creating a **Bill calendar** helps you see how income and bills line up each month

1. Select which month you're planning for and label the calendar for that month.
2. Make a list of all your bills.
3. For each bill, **mark the payment date**: 7 days before the due date for mail, 3 days before the due date for online.
4. Enter the dates you'll receive income and the amounts you expect.

Bills:

_____ _____

_____ _____

_____ _____

_____ _____

Month of: _____

Sunday	Monday	Tuesday	Wednesday	Thursday	Friday	Saturday

GETTING STARTED

Choosing how to pay bills

Your choice of bill payment methods may help you save time, save money, avoid additional or unnecessary fees, and create a reliable track record of bill payments.

In general, you can pay your bills using:

- Cash
- Checks
- Credit or debit cards
- Money orders
- Online or mobile bill payments
- Prepaid cards

Picking a method that helps you consistently pay your bills on time can help you build a payment record that may improve your ability to access credit.

There are benefits and drawbacks to each method. For example, if you prefer to pay bills in-person using cash, you have to get to a payment location, which costs you time and gas money or transit fare. If you use automatic bill payment from a checking account, you'll save time, but you'll need to make sure you have enough money in the account to cover the payment. Otherwise, you may risk a rejected payment or an overdraft fee. If you pay by credit card and can't pay off the balance in full each month, you'll have to pay interest, which will add to what you owe.

What to do

- **Read through the bill payment methods.**
- **Consider the features of each**. Some features can be either advantages or disadvantages, depending on what is important to you.
- **Decide which method to pay your bills is the right choice for you**. Remember that you don't have to pick just one payment method for all your bills. For example, you might put your rent or mortgage on automatic payment but pay your other bills one by one with cash.

Choosing how to pay bills can help you save money and time

1. Evaluate the benefits and risks of each bill payment method.
2. Write down questions you have about options that you think could be right for you.

	BENEFITS	RISKS	QUESTIONS I HAVE
Cash	▪ Easy to use and understand ▪ There are often no fees, unlike getting a money order or a prepaid card	▪ Requires bills be paid in person ▪ Difficult to prove payment unless you have a receipt ▪ May be stolen	
Check	▪ Convenient once checking account is set up ▪ Can be mailed ▪ Easy to prove payment if there's a dispute ▪ Funds in the checking account are secure	▪ Likely requires a checking account, which may not be possible if you have a negative banking history ▪ If you don't have enough money in your account to cover your check, you may be charged nonsufficient fund or overdraft fees ▪ Can get lost in the mail	

	BENEFITS	RISKS	QUESTIONS I HAVE
Credit card	▪ Can pay bills by phone or online ▪ Can make one-time payments or set up recurring (automatic) payments, which reduce the chance of paying a bill late ▪ Easy to prove payment if there's a dispute ▪ Protected from paying for unauthorized charges	▪ Creates debt—you are borrowing money when you use a credit card ▪ Costs more if you can't pay the full balance and have to pay interest ▪ Creates another bill to pay once the credit card bill is due	
Debit card	▪ Convenient and saves time ▪ Can make one-time payments or set up recurring (automatic) payments, which reduce the chance of paying a bill late ▪ Easy to prove payment if there's a dispute	▪ If there isn't enough money in the account when the automatic debit happens, you may have to pay additional fees ▪ If you have to replace the card, you will have to remember to update the information with the billers that are being paid with automatic debit	
Money order	▪ Easy to understand ▪ Can be mailed ▪ Can be more secure than a check in some cases, as no personal banking information is on the money order	▪ May be inconvenient because you have to buy the money order ▪ Cost per money order ▪ May be hard to prove payment unless you have the money order receipt and receive the receipt for payment ▪ Hard to recover if lost	

	BENEFITS	RISKS	QUESTIONS I HAVE
Online or mobile bill payment	▪ Convenient and saves time ▪ Can be set up with a bank, credit union, or prepaid card account (through the account provider's online website or mobile app), or through the biller's website ▪ Can make one-time payments or set up recurring (automatic) payments, which reduce the chance of paying a bill late ▪ If set up through your bank, credit union, or prepaid card account, you may be able to receive warnings or alerts if your account balance goes below a certain amount ▪ You can often use a mobile app for bill payment	▪ Takes time to set up and learn ▪ Possible risks of overdraft and fees or a rejected payment if there isn't enough money in the account when the payment occurs ▪ Data may be collected and shared in ways that you don't want ▪ Mobile device can be lost or stolen, allowing potential access to your financial information ▪ Financial information may be vulnerable to theft if mobile app is used on public Wi-Fi ▪ Some checking account and prepaid card providers don't let you set up recurring bill payments through their websites. But you can likely still do so through the biller's website	
Prepaid card	▪ Convenient ▪ Can pay bills over the phone, online, or through a mobile app ▪ Easier to prove payment if there is a dispute	▪ Possible fees for using the card to pay a bill, which would be listed in the card agreement	

GETTING STARTED

Cutting expenses

Finding ways to reduce your expenses can help you better afford the necessities you can't live without. It can also give you more money every month to save for your goals.

You may still find yourself short on money to pay your bills even after tracking your expenses and cutting back. This is even more likely to happen if your hours at work get cut or you're temporarily out of work.

Here are some tips and suggestions that can help you try to match what's going out with what's coming in. They focus on ways to decrease spending or uses of income and other financial resources. Not all of these may apply to you.

What to do

- **Read through the list of expenses and the strategies for how to reduce them.**
- **Check the ideas that may be possible for you.** Use this as a plan for getting more information or resources.
- **Share options you've identified with others** in your household and start implementing the strategies as soon as possible.

Cutting expenses can help you have money for what you need most

1. Review the strategies for cutting expenses and think about if they are realistic for you.
2. Check off the strategies that you can commit to or add your own at the bottom.

EXPENSE	STRATEGY
Car expenses	I will renew my license and registration on time to avoid late fees.
	I will get regular oil changes and keep my tires inflated to reduce car repair expenses.
Eating out	I will bring lunch to work instead of buying it.
	I will avoid buying fountain drinks.
	I will find out if local restaurants have cost-saving specials like "kids eat free" nights and will check what's included.
Financial service fees	I will research if my accounts charge maintenance fees, ATM or overdraft fees, or fees to cash checks.
	I will look into switching to lower-fee or no-fee accounts.
	I will switch to a different credit card with no, or a lower, annual fee.
Furniture and clothing	I will buy clothing and furniture second-hand or wait for sales.
Groceries and supplies	I will use coupons.
	I will join with other family or friends to buy groceries and supplies in bulk (if the cost per serving saves money).

EXPENSE	STRATEGY
 **Home energy expenses**	I will find out if I'm eligible for energy assistance, weatherization programs, or discounted utility rates.
	I will set my thermostat lower during the winter and higher during the summer.
	I will unplug appliances when not using them.
 **Insurance**	I will increase the deductible on my car insurance to lower my premium payment.
	I will ask about a good student discount for the young driver in my family.
	I will check rates at other companies and look for discounts for moving home and car insurance coverage to one company.
 **Late fees**	I will pay bills on time to avoid penalties or late fees.
	I will request a new due date for some of my bills to make them better align with my income.
 **Memberships**	I will cancel my gym membership if I don't use it regularly.
	I will cancel discount store memberships if I don't use them.
 **Phone**	I will check to see if I qualify for a "Lifeline" phone rate. (visit lifelinesupport.org/do-i-qualify).
	I will consider prepaid or fixed-rate plans.
 **TV, Internet, streaming services**	I will check with my providers about lower-cost plans.
	I will discontinue my cable or streaming services.
 **Other:**	

GETTING STARTED

Prioritizing bills

Making a short-term plan can help you identify the consequences of failing to pay certain bills. This can help you prioritize your expenses if you just can't pay everything.

You're responsible for paying all of your expenses on time. If you miss payments now, you'll have to make them up in the future. But when you don't have enough money to cover your needs and obligations, you may have to make a short-term plan to get through the month.

Sometimes your plan may involve paying some bills late or missing a bill. When bill collectors are calling or you're trying to decide which of your obligations to pay first, it can sometimes just seem easiest to pay the "squeakiest wheel"—but this might not be the best approach. Sometimes you may need to ignore the squeaky wheel for a short time while you pay for necessities and build a plan for repayment.

What to do

- **Read through the list of expenses.** Identify what you need to pay to protect your housing and income, keep your insurance, and meet any court-ordered obligations.
- **Prioritize your bills.**

A step further

Don't ignore bills you can't pay. If you must miss a payment, call the person or company you owe the money to and explain that you will miss a payment and the reason for it. You may wish to contact a certified housing counselor or credit counselor for specialized assistance in building a plan to pay your debts and pay your monthly bills and expenses. Module 6: Dealing with Debt describes your rights in debt collection and includes tips for responding to debt collectors. For additional information on what debt collectors can and cannot do, visit consumerfinance.gov/consumer-tools/debt-collection/.

Prioritizing bills helps you manage issues when you can't pay them on time

1. Read through the items that apply to you and write down the monthly amount of each bill. It's OK to estimate if this amount changes from month to month.
2. If you can't pay all your bills at once, think about the order you pay them in. Weigh the risks of not paying each one, then number them in the order you want to pay them, based on priority.

		AMOUNT	PRIORITIZE YOUR BILLS	CONSIDER...
THINGS I NEED FOR A JOB	Transportation to get to work (car payment, gas or bus fare)			If you miss a car payment, you may have to pay a late fee. You risk possible repossession of your car, a negative entry on your credit record, and lowered credit scores. If your car is repossessed, you might have trouble getting to work and risk losing your job.
	Equipment or uniform			
	Childcare			
INSURANCE I NEED TO PAY	Car insurance			Not having insurance may mean you can't drive your car, and it puts your assets, including your health and your family's health, at risk.
	Health insurance			
	Renters or home insurance			

		AMOUNT	PRIORITIZE YOUR BILLS	CONSIDER...
 **THINGS I NEED FOR HOUSING**	Rent, mortgage, or property taxes			If you're late with rent, you may have to pay a late fee, risk possible eviction, and strain your relationship with your landlord. If you don't pay your utility bills, they may get cut off. Utility companies may charge fees to get reconnected.
	Gas, electric			
	Water, garbage, sewer			
 **OBLIGATIONS I HAVE TO PAY**	Credit cards			If you're late with your credit card payment, you may have to pay a late fee. You also risk a negative entry on your credit record, lowered credit scores, and higher interest rates. If you don't pay court-ordered obligations, like child support, you may face legal consequences. Visit consumerfinance.gov/askcfpb/1433 to find a lawyer in your area.
	Loans (student, payday)			
	Child support			
	Court-ordered fines and fees			

MODULE 5

Getting through the Month

Tracking when your money comes in and goes out can help you understand if you'll have enough each week or month.

At a glance

This module helps you understand your cash flow by looking at how money flows into and out of your household. It also provides suggestions for how to improve your cash flow if you're having trouble making ends meet.

Creating a cash flow budget

Improving cash flow

Adjusting your cash flow

Introduction

When it comes to money, timing matters. If the timing of your income doesn't match the timing of your expenses, you may come up short without planning in advance. That's why monthly budgets sometimes don't work out from week to week.

Having a problem with a financial product or service?

You can submit a complaint and we'll forward it to the company and work to get you a response. Submit online at consumerfinance.gov/complaint or by calling (855) 411-2372.

Making a cash flow budget

A cash flow budget projects what money you expect to come in and how much you think you'll spend each week and when you expect the expenses to occur. It's different from a regular budget because it breaks your monthly budget down week by week. It accounts for when money and other financial resources are expected and when they must be used on needs, wants, and obligations.

The first step in making a cash flow budget is tracking your income and expenses. Ideally, you should do this for an entire month. You can use the "Income and benefits tracker" in Module 3 and the "Spending tracker" in Module 4 to get started.

Once you've completed these two tools, you can use the "Creating a cash flow budget" tool to help you bring your income and spending information together and show you how they interact with one another from week to week.

Analyzing your cash flow

A cash flow budget can help you identify where you're falling short each week. It can help you figure out if you have the financial resources on hand to cover the most important expenses—so you don't fall short covering the rent, for example. A cash flow budget can also help you target areas where you can cut back or postpone expenses.

For people who have irregular, seasonal, or one-time income, a cash flow budget is even more important. It can help you plan ways to spread the income you receive over future weeks or months when you don't have money coming in.

Take a look at your total income and benefits and your total expenses for each week. Do you have enough to cover all of your expenses each week? Are there things you can adjust or postpone so you have enough to cover your needs each week?

You can use the "Improving cash flow" tool to brainstorm some strategies for how to keep your cash flow positive each week. That may mean cutting expenses or changing the timing for when some of your expenses happen.

If you find you want to cut back in some other areas, put these new target levels of spending on the calendar in the "Adjusting your cash flow" tool. For example, if you spend $350 per month on groceries, you may decide to buy some foods in bulk, decreasing the amount you spend on groceries to $325.

There are expenses, such as rent and your car payment, which you cannot easily reduce. These are commonly called fixed expenses. Cutting back on these

expenses requires major changes, such as moving or selling your car. Sometimes you can work with your landlord or lender to adjust when these expenses are due, which can improve your cash flow. For instance, can you pay your rent on the fifth of the month or even split the payment into two smaller ones, due on the first and fifteenth of the month?

Your cash flow budget is about setting targets for how and when you will spend your income going forward. It's important to be realistic when you set targets and focus on the things you have control to change.

What's inside

This module has three tools to help you understand and improve your cash flow.

Here are suggestions for how to make the most of the time you have.

If you have...

10 MINUTES

- Use "**Improving cash flow**" to learn about strategies and habits you can change to help your cash flow

30 MINUTES

- Use "**Adjusting your cash flow**" to find expenses that you can move or reduce to make sure your weekly cash flow is positive

MULTIPLE SESSIONS

- Complete "**Creating a cash flow budget**" to see how your income and expenses line up

GETTING STARTED

Creating a cash flow budget

A cash flow budget is all about tracking the timing of your income and expenses to make sure you have enough from week to week.

Before you can build a cash flow budget, you will need to track your income, resources, and expenses for at least one month. Use the "Income and benefits tracker" in Module 3 and the "Spending tracker" in Module 4 to help you get started. You'll need the information from both of these tools to create your cash flow budget.

What to do

- **Enter your beginning balance for the week.**
- **Add all of the income and benefits you receive that week. Subtract all of your expenses for that week.** Include the money you spend on everyday expenses, bills, and savings. Also include benefits you use to pay for things that would otherwise be paid for with cash, such as SNAP and TANF. Remember that some benefits may only be used for specific expenses. For example, like SNAP benefits can be used for food, but not household items, like paper towels. If you receive a housing subsidy, include the full value of the subsidy under income and resources and the full market rate of your rent under expenses.
- **What's left is your ending balance.** If it's positive, you have enough income and benefits to make it through the week. If it's negative, you're falling short.
- **Copy your ending balance for the week to the beginning balance of the next week.** Repeat these steps for the rest of the weeks that month.

A step further

If it looks like there are weeks where your expenses are more than your income and benefits, you can use the "Improving cash flow" tool to brainstorm some strategies for getting back on track.

Consider expense and income timing by **Creating a cash flow budget**

1. Enter your starting balance for the month under Week 1. This is the total amount of money available to you from cash on-hand, prepaid cards, and checking and saving accounts.
2. Write down the amounts you receive during Week 1 from the categories listed. If you have income from other categories, add them together and write them under "Other."
3. Add up all your income for Week 1 and enter under "Total income."
4. Write down the amounts you spend during Week 1. If you have expenses from other categories, add them together and write them under "Other."
5. Subtract all the expenses for Week 1 from the "Total income" for Week 1. Write this amount in "Ending weekly balance."
6. Copy the amount from "Ending weekly balance" from Week 1 into the "Starting balance" for Week 2. Repeat steps 2 through 5 for the remaining weeks in the month.

		WEEK 1	WEEK 2	WEEK 3	WEEK 4	WEEK 5
BEGINNING WEEKLY BALANCE	1	Starting balance $250	$400	$	$	$
ADD MONEY YOU RECEIVE EACH WEEK	2	+ 300				
		+ 100				
		+				
	Total income 3	= 650	=	=	=	=
SUBTRACT YOUR WEEKLY EXPENSES	4	– 200				
		– 35				
		– 15				
ENDING WEEKLY BALANCE	5	= 400	6 =	=	=	=

		WEEK 1	WEEK 2	WEEK 3	WEEK 4	WEEK 5
BEGINNING WEEKLY BALANCE	Your starting balance is a total of your cash, prepaid card, and account balances.	Starting balance $	Wk. 1 ending balance $	Wk. 2 ending balance $	Wk. 3 ending balance $	Wk. 4 ending balance $
ADD MONEY YOU RECEIVE EACH WEEK	Job 1	+				
	Job 2	+				
	Housing subsidy	+				
	SNAP	+				
	TANF	+				
	Other	+				
	Total income	=	=	=	=	=
SUBTRACT YOUR WEEKLY EXPENSES	Cell phone	–				
	Debt payment	–				
	Eating out	–				
	Education and childcare	–				
	Entertainment	–				
	Groceries and other supplies	–				
	Health expenses	–				
	Helping others	–				
	Housing and utilities	–				
	Pets	–				
	Savings for emergency fund	–				
	Savings for goals like education or retirement	–				
	Transport	–				
	Other	–				
ENDING WEEKLY BALANCE		=	=	=	=	=

GETTING STARTED

Improving cash flow

There are several strategies you can use to improve your cash flow.

You can make sure you have the income and benefits at the right time by avoiding large periodic payments. Instead, make smaller payments throughout the month or year.

You can also try to change the timing of when you pay your expenses. For example, you may be able to change the due dates of some of your bills or loan payments, so that they better match the times of the month when you receive income.

What to do

- **Read through the strategies** for improving your cash flow.
- **Write down any questions you have or next steps you can take.**
- **Commit to implementing one or two strategies** for the coming month and see if your cash flow improves.

A step further

Use the "Adjusting your cash flow" tool to see where you can change the timing or amount of some of your expenses using the strategies learned here.

Strategies for **Improving cash flow**

1. Read the different strategies for improving your cash flow.
2. Check the box of one that you can commit to trying now. Write down any questions you may have about how you can accomplish this.
3. After you've completed that strategy, try another to keep improving your cash flow.

STRATEGY	THINGS TO CONSIDER	QUESTIONS I HAVE
I'll negotiate a new due date for my bills with the company so they're due after I receive income.	First contact companies where you have a good payment history and long-standing relationship. They are more likely to be open to adjustments.	
I'll negotiate splitting a large monthly payment into two smaller ones due at different times.	For example, if you can cover your $700 rent with a $350 payment on the first and fifteenth of the month, it might free up more money at the beginning of the month to cover other bills.	
I'll change large lump-sum payments into smaller monthly payments on things like car insurance.	There may be a small fee to pay monthly, but it can still make handling these payment more manageable by breaking them into smaller chunks.	

STRATEGY	THINGS TO CONSIDER	QUESTIONS I HAVE
I'll check to see if I qualify for an energy assistance program in my area.	There are local and national programs that can help low-income families pay for part of their energy costs. Get information on how and where to apply for energy assistance at liheapch.acf.hhs.gov/help.	
I'll explore level payment plans for utility bills.	This averages your annual use over a 12-month period, so that you pay the same each month and avoid seasonal spikes in cost. This is especially helpful for budgeting in extreme climates where you have high bills in the summer and winter months. Check with your utility providers to see if you qualify.	
I'll automatically deposit a monthly amount into a savings account or savings wallet feature of a prepaid card, so when a large lump-sum payment is due the money is already saved.	This helps reduce stress when large, periodic payments (like car insurance or school tuition) are due. To do this, you'll need regular income, an account at a bank or credit union, or a prepaid card. See "Evaluating your prepaid or payroll card" in Module 8 if you're considering a prepaid card.	
I'll look to make sure that I'm withholding enough tax from my paycheck.	Generally, selecting more allowances (also called exemptions) means fewer taxes are withheld from your paycheck. But if you have more allowances, you could end up owing more when you file your taxes. Learn more at irs.gov/individuals/irs-withholding-calculator.	

STRATEGY	THINGS TO CONSIDER	QUESTIONS I HAVE
I'll explore options to consolidate my debt.	You can usually consolidate debt with a bank or credit union if you have good credit. This can improve your cash flow because the monthly payment may be smaller and you'll have fewer debt payments to make each month. But the tradeoff is it could take you longer to pay off the debts or cost more over the length of the loan. If you consolidate your debts into your mortgage, falling behind on those payments could put your home at risk. Be sure you understand the terms of the consolidation and aren't paying more interest with the new loan. Consider talking through your options with a certified credit counselor. You can find one in your area by visiting consumerfinance.gov/askcfpb/1451.	
I'll refinance my home for a lower interest rate or talk with my lender about a loan modification.	Refinancing doesn't always save money after factoring in fees, so do the math to ensure the new rate saves you money. Learn more about choosing a home loan at consumerfinance.gov/owning-a-home.	
I'll consider selling my car and buying a less expensive one.	Reducing your auto loan payments can help free up money for other things, but keep in mind that older cars may require more costly maintenance. So think about whether your cost of ownership, which includes insurance, fuel, and maintenance, will also go down with a less expensive car.	

STRATEGY	THINGS TO CONSIDER	QUESTIONS I HAVE
I'll explore options for refinancing my auto loan to something with a lower interest rate.	Reducing your interest rate can lower your monthly payments. Make sure you understand all the loan terms, so you don't end up paying more in the long run To help prepare you to shop for and compare auto loans, visit consumerfinance.gov/consumer-tools/auto-loans.	
I'll check to see what repayment options I have to reduce my student loan payment.	You may qualify for an income-based repayment plan, which will lower your student loan payment based on your income and family size. Learn more with the "Repaying student loans" tool (in Module 6).	

GETTING STARTED

Adjusting your cash flow

See how you can improve your cash flow by adjusting your expenses on this calendar.

Learning about strategies for improving your cash flow is one thing, but actually putting them into action is another. Laying out your income and expenses on a calendar can help you visualize your cash flow, making it easier to make adjustments.

What to do

- **Fill in the calendar with the dates for that month.**
- **Use your cash flow budget to enter your income (including benefits) and expenses.** It's helpful to use a pencil to make it easier to move things around.
- **Try moving expenses around to better align with when you have income** in places where you're coming up short.
- **Take action to make the changes a reality.** You can do this by adjusting your spending habits, calling your creditors about changing the due dates of your bills, or splitting large periodic bills into smaller more frequent ones to make them more manageable to pay.

Better align expenses with income by **Adjusting your cash flow**

1. Write in next month's name and dates on the calendar.
2. Enter your income sources (jobs, benefits, etc.) and amounts on the day you receive them with a plus (+) sign.
3. Enter your expenses and amounts on the day you pay them with a minus (-) sign.
4. Use ideas from the "Improving cash flow" tool to adjust the timing of your expenses. For instance, draw an arrow from an expense you can move to a date that's after you get paid.
5. Make copies of this calendar and repeat in a few months to see how you're doing.

Month: _____

	Sunday	Monday	Tuesday	Wednesday	Thursday	Friday	Saturday
Example	Groceries - $85	Gas bill - $79		Paycheck Job 1 +$750			
Week 1							
Week 2							
Week 3							
Week 4							
Week 5							

MODULE 6

Dealing with Debt

Learn about ways to tackle your debt to help you feel less overwhelmed. The more you know about how debt works, the easier it will be to make choices that are right for you.

At a glance

This module will help you get a picture of what you owe, get a handle on your payments, and cut down on stress from growing debt.

- **Debt log**
- **Debt-to-income calculator**
- **Debt action plan**
- **Comparing auto loans**
- **Repaying student loans**
- **When debt collectors call**
- **Avoiding medical debt**

Introduction

What is debt? Debt is money you owe to another person or business. Whether you took out a loan, used a credit card, or got behind on a bill payment, that's debt.

Having a problem with a debt-related product or service?

You can submit a complaint and we'll forward it to the company and work to get you a response. Submit online at consumerfinance.gov/complaint or by calling (855) 411-2372.

Debt can be hard to face when it feels like a barrier to your goals, but it's important to remember that there are resources you can use to help you take control of your debt. Even small steps toward paying down debt can make a big difference in making it feel more manageable.

Making sense of debt

Debt can be complicated. There are many terms and concepts related to debt that are important to understand to help you better tackle your own debt.

GOOD DEBT, BAD DEBT?

Sometimes people label debt as "good" debt or "bad" debt. Some debt can help you reach your goals or build assets for the future. People will often say that borrowing for your education, for a reliable car, or to buy a home can be a good use of debt.

But it's not always that simple. You need to look at things like whether the benefit of that debt's outcome (like a degree or training certificate) will outweigh the cost of the actual debt. But those beneficial outcomes aren't guaranteed.

For example, **borrowing to further your education** may be a good use of debt because earning a certification or degree could lead to a better paying job and more job security. But if you take on the debt and either don't earn a certificate or degree or aren't able to find a better job, this student debt has set you back instead of helping you reach your goals.

Taking out a loan to buy a reliable car to get to and from your job can improve your job security, which helps you pay your bills and save for goals. However, if you take out a car loan that's longer than the remaining life of the car, you could owe money on the old car when you need to borrow for another one. Or if you buy a more expensive car than you need, you'll have less money for other bills each month. While it may get you to work, it might keep you from reaching your other financial goals.

Taking out a loan to buy a home of your own may be a way to reach your personal goals. But if you're unable to keep up with the payments or if you end up owing more than your home is worth when you go to sell it, that debt may set you back for a long time.

Some people consider loans such as credit card debt, short-term loans, and pawn loans "bad" debt. They may carry fees and interest, and if they're used for things you consume (like meals out, gifts, or a vacation), they don't help build assets. But these sources of debt can help cover a gap in your cash flow if you have a way to

repay them that fits within your budget and doesn't require borrowing again to pay for that original debt.

So there is no one type of debt that is "good" or "bad" for everyone. That's why it's important to first understand your goal or your need before you borrow. Then you can shop for the best way to pay for what you need, especially for large purchases like a car or a home, before you make the final decision on your purchase.

SECURED AND UNSECURED DEBT

Another way to understand debt is whether it is secured or unsecured.

Secured debt has an asset attached to it. The asset is given as collateral for the loan. When debt is secured, a lender can take that asset if you get too behind on payments.

Here are some examples of secured debt:

- A **home mortgage loan** is secured with the home you are buying. If you don't pay your loan, the lender can foreclose on your home, sell it, and use the money from the sale to cover some or all of your loan. In some states, the lender can ask you to pay the balance if the sale doesn't pay off the loan.
- An **auto loan** is secured with your car. If you don't pay your loan, the lender can repossess (repo) your car and sell it to cover some or all of the loan. In some states, they can also ask you to pay the balance if the sale doesn't pay off the loan.
- A **pawn loan** is secured with the item you have pawned. The lender physically holds the item during the loan. If you don't make the payment when it's due, the pawned item is eventually sold.
- An **item purchased under a rent-to-own agreement**, like a couch or television, must be returned or it will be picked up by the store if you don't make the payment.
- Debt from a **secured credit card** is secured by funds you deposit at a bank or credit union when you open the card. Your credit limit will generally equal your deposit. For example, if you deposit $300, your credit limit will be $300. If you don't pay back the credit card, the bank can pay itself from your deposit. You can use a secured credit card to build up your credit history. This can help you qualify for an unsecured credit card in the future.

Unsecured debt doesn't have an asset attached to it. If you don't pay these loans, they often go directly to collections, since there are no assets associated with the loan to repossess.

Examples of unsecured debt include:

- Credit card debt (most credit cards are unsecured)
- Department store charge card debt
- Medical debt
- Student loans

Co-signers: Agree to repay the loan

If you're considering co-signing a loan, you should first understand what you're agreeing to. A co-signer is a co-borrower and has the same obligation to pay a debt as the primary borrower. You owe the money that you co-sign for even if you don't receive any of it. Lenders sometimes ask for a co-signer when they are concerned that a prospective borrower won't be able to repay a loan. The co-signer helps decrease a lender's concern about repayment.

Co-signing a loan is not simply serving as a character reference for someone else. If you're the co-signer, you have to pay back the loan if the borrower doesn't pay it. In most cases a lender or creditor doesn't even have to first try to seek repayment of a debt from the borrower before seeking repayment from you as a co-signer. Your credit scores may also be affected if the borrower is late with or fails to make one or more payments.

Co-signing a loan may also affect your ability to obtain a future loan because a creditor may take into account the increased amount of debt that you have as a result of co-signing for a loan.

If you decide to co-sign for a loan, you should read the terms of the loan and consider carefully before taking on the risk of co-signing.

A **joint account holder** for a credit card has the same responsibility to pay as a co-signer on a loan. Any past due balances of the other joint account holder will also add to your debt and affect your credit scores.

However, if someone is added to a credit card account as an **authorized user**, they aren't generally responsible for paying past due balances. But they are still able to use the credit card. Be careful when adding authorized users to your account, because they can create added debt that you will then have to pay.

Types of debt

Different types of debt have different rules about borrowing and repayment. It's important to know these details so you can best prepare for how to better handle your debt.

In this module, we will talk about:

- Student loan debt
- Medical debt
- Payday loans
- Auto title loans
- Rent-to-own arrangements

Student loan debt

Many people take out student loans to help pay for their education. There are two general types of student loans: federal student loans and private student loans. Be sure to read your loan documents carefully to understand what kind of student loan you have and how long you have to repay it. With both federal and private student loans, late payments will affect your credit history and may result in collections.

FEDERAL STUDENT LOANS

These loans are made or guaranteed by the federal government. They usually have names like Direct Loan, Stafford, PLUS, or Perkins.

Federal student loans usually offer **more flexible repayment options** than private student loans. The interest rate on federal student loans is set by the government and is fixed, which means it will stay the same for the length of the loan. Also, with certain types of federal student loans (called subsidized loans), the government will pay the interest on your loan while you're in school at least half-time.

REPAYING FEDERAL STUDENT LOANS

There are many options for repaying federal student loans to help make them more affordable to pay. Paying your loans on time and being in good standing are important to help you qualify for these repayment plans. So **don't ignore student loan payment notifications**. Missing payments on your federal student loans can hurt your ability to qualify for an alternative repayment plan that could lower your monthly payments.

You may not be eligible for an alternative repayment plan, based on the type of the loan you have and your financial circumstances. If you do apply for a different repayment option, it's important to continue making your loan payments under your current payment schedule until you receive written notification that you have been approved. This ensures your loan will continue to be in good standing.

delays or disputes that may arise with your insurance provider and settle the debts before the medical debt affects your credit scores.

Learn about some simple steps you can take to keep medical debt in check in the "Avoiding medical debt" handout.

If there are mistakes on the explanation of benefits from your health insurance company or you're billed for medical services you never received, the biller may have made a mistake or you may be the victim of identity theft. Contact the biller right away.

Learn more about ways to prevent identity theft and how to report it in Module 9: Protecting your Money.

Payday loans

A payday loan or a "cash advance" is a short-term loan, generally for $500 or less. The lender might give you the money as cash, load the funds onto a prepaid card, or electronically deposit the money into your checking account.

Payday loans are generally due on your next payday. You must either give the lender access to your checking account by electronic debit or write a post-dated check for the full balance in advance, so the lender can deposit your check when the loan comes due. Lenders sometimes require a borrower to provide a paystub or benefits receipt or provide the amount of their income.

Depending on state law and individual lender practices, other loan features can vary. For example, payday loans are often structured to be paid off in one lump-sum payment, but interest-only payments ("renewals" or "rollovers") are possible in some states. In some cases, payday loans may be structured so that they're repayable in payments over a longer period of time, called "payday installment loans."

The cost of the loan may range from $10 to $30 or more for every $100 you borrow. So a typical two-week payday loan with a $15 fee per $100 borrowed equals an annual percentage rate (APR) of almost 400 percent.[7]

You may also have to pay additional fees to your bank or credit union if there isn't enough money to cover the loan payment when the payday lender tries to take the

7 See consumerfinance.gov/askcfpb/1589

money you owe out of your account or cash the postdated check. This is on top of fees you're already paying the lender.

State laws and other factors can influence how much you can borrow and the fees you're charged. Some state laws restrict or prohibit payday lending.

HOW DO PAYDAY LOANS WORK?

Here is an example of how a 14-day payday loan may work. Note: 14 days is used for example purposes only. Repayment may fall on the next payday or another period as specified by state law or loan agreement.

A borrower visits a storefront payday lender or an online payday lender website and completes an application. There's generally no traditional credit check. Usually the borrower only needs a bank or credit union account. The borrower writes a post-dated check or provides electronic access to the account.

The borrower gets the loan (the average loan amount is $350) and pays $10-$30 per $100 borrowed ($15 per $100 is the average fee for storefront payday loans; fees for online payday loans may be higher).

The borrower provides the lender with a 14-day post-dated check for the amount of the loan plus the fee ($350 + $52.50 = $402.50). The lender may also seek the borrower's authorization to take the money out of their bank or credit union account.

In 14 days, the loan is due. If the borrower does not have $402.50 to make the payment, he could renew or rollover the loan. Then he will pay the $52.50 fee again.

Every 14 days, the borrower must pay the full amount or renew the debt by paying another fee of $52.50. The average borrower takes out five loans in a row before repaying the full original loan amount (and not borrowing again shortly thereafter).

In this loan example, that would mean the borrower will have paid a total fee of $262.50 to borrow the original $350.

Auto title loans

An auto title or "vehicle title" loan is another type of short-term loan. You're typically required to own your car free and clear (without an auto loan or lease) and must give the lender your car title in order to borrow money. If you're unable to repay the loan, the lender can seize or repossess your car and sell it if you don't repay the loan, even if your car is worth more than the loan amount.

Auto title loans are often for amounts that are equal to 25 to 50 percent of the car's total value. A typical auto title loan is about $700. These types of loans tend to have an annual percentage rate of about 300 percent for a 30-day single payment loan. Auto title loans can be repaid in a single payment or in regular installment payments. If the state you live in permits these loans, you may be able to choose between repayment options or you may be limited to just one or the other. The majority of borrowers (about 80 percent) aren't able to repay a single payment auto title loan without re-borrowing. More than half of auto title borrowers take out more than three consecutive loans before they can repay the original amount.

If you can't repay the loan in full either in a single payment or after taking out repeated loans, your car can be repossessed. If that happens, state laws determine what repossession fees may be added and how long you have to pay off the balance due in order to get your car back. If your car is repossessed and you can't afford to pay back your loan plus the repossession fees, your car may be sold at auction. In some states, if the sale price of the car doesn't cover what you owe, you may still have to pay the difference.

Rent-to-own arrangements

Some people use a rent-to-own arrangement to get consumer goods, like furniture, electronics, and appliances. This is where you rent the items and typically have the option to purchase the items in one of two ways: by continuing to make payments for a specific period of time or by paying off the balance during the term of the contract.

Items rented or purchased this way tend to be more expensive in the end than if you'd bought them outright. If you miss a payment the rent-to-own company can take the item back.

You also have the option to return the item at any time. If you return the item or the rent-to-own company takes it back, you don't get a refund of any money that you already paid.

Avoiding problems with debt

Sometimes people don't have the money to repay a loan and the finance charges when they are due. This can happen with short-term loans that have to be paid back in just one or a couple of payments. In this situation, some people take out another loan to pay off the first one.

It can be difficult to escape the cycle of borrowing to cover the loan payment and still be able to pay for other expenses like food, rent, and transportation. If you're considering a short-term loan product to meet an immediate need, it's important to think about how you'll pay off the loan before you borrow.

The kinds of loans that often lead to frequent re-borrowing have many things in common:

- **Small dollar** loans, generally under $500
- Must be **repaid quickly** (14 days is a typical payday loan term, for example)
- Require you to provide **your bank account information** to your lender, so that the lender can automatically take payments from your account. If you don't have sufficient funds in your account at the time of the automatic payment, you may have to pay fees to your bank or credit union for non-sufficient funds in the account

Make sure you know how you'll repay your loan and how much the loan could ultimately cost you before agreeing to use any form of credit. If you find that you can't make your loan payment and cover your other expenses without taking out a new loan, ask the provider for a repayment plan that gives you more time to pay off the loan. Some lenders may not offer you any options.

ALTERNATIVES TO SHORT-TERM LOANS

If you're short on cash, consider some alternatives to borrowing small amounts of money for a short period of time.

- Negotiate for more time to pay if the loan is to pay a bill that's due.
- Think about what you're borrowing the money for. Is it a need, an obligation, or a want? If it's a want, consider whether it's possible to spend less money for it, not purchase it, or wait until you have the money for it.
- Use a credit card if you have one that is not maxed out– while it will increase your monthly card payment, it could be cheaper in the long run depending on interest rates and fees.
- Use lower-cost short-term loan alternatives from a credit union or bank. If you don't qualify for this type of loan, consider using the "Getting and keeping a good credit history" tool in Module 7.
- Use your own emergency savings. See the "Savings plan" tool in Module 2 for tips on how to build an emergency savings fund.
- Discuss the situation with a credit counselor or financial coach. You can find a credit counselor at consumerfinance.gov/askcfpb/1451.
- Borrow from a friend or family member. A community-based lending circle can formalize this sort of borrowing with a group of friends and neighbors.

Consider this scenario using different options for taking care of an emergency expense. It looks at the costs of paying for an unexpected car repair with emergency savings, a credit card, or a payday loan.

COST OF UNEXPECTED CAR REPAIR = $350

COST INFORMATION	EMERGENCY SAVINGS	CREDIT CARD	PAYDAY LOAN
Amount needed	$350	$350	$350
Annual Percentage Rate (APR)	None	15.99 percent APR	$15 for every $100 borrowed for 14 days—equals a 391 percent APR
Repayment terms	You can decide when you rebuild your savings	Must pay at least a certain amount each month—for this example, we're using a fixed monthly payment of $25	Must pay back loan amount ($350) plus fee ($52.50) within 14 days
Time to repay	None	16 months[8]	14 days
Total interest and fees	$0	$40 over 16 months	52.50 for every 14-day loan
Total cost of car repair	$350	$390	$402.50 if repaid on time

8 Most credit card companies allow customers to pay a percentage of the amount owed, which makes the minimum payment vary from month to month. To pay off this credit card balance in full, the individual will have to make $25 payments for 15 months, and then pay just over $15 in the sixteenth month.

The total cost of a payday loan depends on how long it takes you to save up to pay back the entire loan. In the example above, if you renew or roll over this loan four times, you would be in debt for a total of 10 weeks and could pay up to $262.50 in fees plus the $350 you borrowed, for a total of $612.50.

SPECIAL PROTECTION FOR ACTIVE DUTY SERVICEMEMBERS

Most types of consumer loans that are offered to active duty servicemembers and their dependents have to comply with the Military Lending Act (MLA).

These credit products now include, but aren't limited to:

- Payday loans, deposit advance products, and auto title loans
- Overdraft lines of credit (but not traditional overdraft services)
- Installment loans (with the exceptions noted below)
- Credit cards opened on or after October 3, 2017

If you're a servicemember on active duty and decide to take out one of these loans, you have rights under the MLA, including a limit on the interest rate the creditor can charge of 36 percent.

There are some loans the MLA doesn't cover—namely, credit that is secured by property being purchased and certain other secure loans.

Loans not covered by the MLA generally include:

- Residential mortgages (financing to buy or build a home that is secured by the home), mortgage refinances, home equity loans or lines of credit, or reverse mortgages
- A loan to buy personal property when the credit is secured by the property you're buying, like a car or home appliance

DEBT SETTLEMENT SERVICES

Debt settlement companies say they can renegotiate, settle, or in some way change the terms of your unsecured debt to a creditor or a debt collector. That may include reducing the balance, interest rates, or fees you owe. It's possible for you to try to do this yourself by contacting your creditors.

Debt settlement companies charge fees, but it's generally illegal for them to charge up-front fees. Some debt settlement companies advertise that they will help consumers, but they ask you to stop paying your debts while you save up money to settle the debts. Not paying on your debts can create problems for you.

You should avoid doing business with any company that promises to settle the debt if the company:

- Charges any fees before it settles your debts
- Promotes a "new government program" to bail out personal credit card debt
- Guarantees to you that it can make the debt go away
- Tells you to stop communicating with the creditors
- Tells you it can stop all debt collection calls and lawsuits
- Guarantees that the unsecured debts can be paid off for pennies on the dollar

If you receive calls from debt collectors about debts that don't belong to you, you may be the victim of identity theft.

Learn more about ways to prevent identity theft and how to report it in Module 9: Protecting your Money.

What's inside

This module has six tools and one handout to help you better understand different kinds of debt and how they work. It also helps you evaluate the role that debt plays in your own budget and steps you can take to reduce debt.

Here are suggestions for how to make the most of the time you have.

If you have...

10 MINUTES

- Review "**When debt collectors call**" if you're having a problem with debt collection to prepare yourself the next time a debt collector contacts you
- Review the "**Avoiding medical debt**" handout if you're dealing with high medical bills to learn about ways to handle medical debt

30 MINUTES

- Complete the **"Debt log"** to gain an understanding of all the debt you owe
- Use the **"Debt-to-income calculator"** to discover how much stress debt is putting on your budget

MULTIPLE SESSIONS

- Fill out the **"Debt action plan"** to find a strategy for paying down your debt that works for you
- Bring **"Comparing auto loans"** with you when you shop for an auto loan to help find the best deal
- Use **"Repaying student loans"** to understand what repayment plans are available to you

GETTING STARTED

Debt log

Before you can make a plan for paying your debt, you first have to know what you owe.

A debt is money you owe. For things like rent-to-own arrangements, credit cards, payday loans, student loans, and mortgages, the total amount you borrowed is your debt. So your total monthly payment (including interest or fees) is part of your debt payment.

There are other kinds of debt besides loans. For instance, your monthly electric bill isn't a debt, but if you're past due on your bill, that amount and any fees become debt. That past due amount should be counted in this tool as part of your monthly debt.

The first step in managing and reducing your debt is to make a list of **who you owe money to and how much you owe them**. Be sure to include debts owed to friends and family, credit card companies, banks, department stores, and payday lenders. Also include any money you owe for past due court-ordered child support payments, past due rent, and past due payments to local, state, or federal government for things like property taxes and back income taxes. You can gather this information from your free credit report, bills, and loan statements.

What to do

- **Gather all of your bills and loan statements** to help you figure out what you owe.
- **Get a copy of your credit report.** Use the "Requesting your free credit reports" tool (in Module 7) if you don't have a recent copy. This can help you find any debt you may have forgotten about or has been sent to collections.

A step further

If you're worried about debt or thinking about adding to your debt, it helps to first understand your total level of debt. Use the "Debt-to-income calculator" to measure exactly how much debt you have compared to your income. You can also use the "Debt action plan" to help prioritize payments.

Documents that can help you complete the "Debt log"

If you don't have all the information you need to complete the "Debt log," these documents can help you fill in the blanks. Here's the type of information you can find on each.

CREDIT REPORT

- Your monthly payment amounts
- The balance (the amount you still owe)
- Whether you are up to date or more than 30 days late on payments
- Your status as owner, co-signer, or authorized user (if you're an authorized user on someone else's account, the debt showing on your credit report may be money they've spent that you aren't responsible to pay; only include that amount in this tool if it's money you're responsible for)

CREDIT CARD STATEMENT

- Payment date
- Minimum payment amount
- Interest rate
- Payoff date if you continue to make minimum payments

LOAN OR MORTGAGE AGREEMENT

- Interest rate
- Payment date
- Fees
- Payoff date

COURT ORDERS

- Payment amount
- Due date
- Any other terms

BILLING STATEMENTS

- Past-due amounts
- Late fees

Track your debts and how much you owe with this **Debt log**

1. List all the debts you have, including who you owe them to. Fill out the table to see your total monthly debt payment.
2. Repeat this exercise every few months to track if your debt is growing or shrinking.

Remember, a bill isn't always debt.
For instance, your phone bill isn't debt, but any past due amount for that bill is. If you're repaying a loan (like a credit card or mortgage), the entire amount is considered debt and should be included here.

Common debt types to help you brainstorm:



Auto loan | Back child support | Credit card debt | Friends and family | Medical debt | Mortgage or past-due rent | Past-due fees and fines | Payday loan | Student loan

Debt	Payment due this month	Payment is up to date?	Total amount left to pay	Interest rate (if any)	Payoff date or goal
	$		$	%	
	$		$	%	
	$		$	%	
	$		$	%	
	$		$	%	
	$		$	%	
	$		$	%	
	$		$	%	
Total monthly debt payment	**$**				

GETTING STARTED

Debt-to-income calculator

Figure out your debt-to-income ratio to see how much of your income goes toward paying debt each month.

Determining your debt-to-income ratio is one way to check the overall health of your finances. It measures how much pressure debt is putting on your budget, which helps you decide if you can handle more debt.

For example, if you have a debt-to-income ratio of 36 percent, then 36 cents of every dollar earned is going to pay for debt, leaving you 64 cents to pay for everything else.

A high debt-to-income ratio could affect your ability to get additional credit because creditors may be concerned that you won't be able to handle their debt on top of what you already owe.

You can also use the debt-to-income ratio as a benchmark for reducing your debt—as your debt decreases, so will your debt-to-income ratio. This means money is being freed up to use on other things like saving, expenses, and emergencies.

What to do

- **Complete the "Debt log"** to figure out your total monthly debt payment. If you have court-ordered fixed payments, such as child support, count these as debt for this purpose.
- **Figure out your gross monthly income** (before taxes or insurance). This includes money earned from a job or child support payments you may receive. If your income varies from month to month, estimate your income on a typical month (it's better to estimate lower for the purposes of this tool).

A step further

If your debt-to-income ratio is above the guidelines, use the "Debt action plan" to help reduce your debt and lower your debt-to-income ratio.

The **Debt-to-income calculator** gives you a benchmark for planning

1. Enter your total monthly debt payment on the first line of the equation. You can copy it from the "Debt log."
2. Enter your gross monthly income on the second line. If your income varies from month to month, estimate what you receive in a typical month.
3. Calculate your debt-to-income ratio and review the recommended ratios to see how yours compares.

Lenders use your debt-to-income ratio when considering your loan application.

CALCULATE YOUR DEBT-TO-INCOME RATIO

Your total monthly debt payment includes credit card, student, auto, and other loan payments, as well as court-ordered fixed payments, like child support	
Divide by **your gross monthly income** which is all of your income before taxes and insurance	÷
Multiply by 100 to calculate **your current debt-to-income ratio**	%

Here are some guidelines to think about:

HOMEOWNERS

36% or less

Consider maintaining a debt-to-income ratio for all debts of 36 percent or less. Some lenders will go up to 43 percent or higher. Your home mortgage is included in this ratio.

RENTERS

15 20% or less

Consider maintaining a debt-to-income ratio for all debts of 15-20 percent or less. Your rent is not included in this ratio.

If your debt-to-income ratio is higher than the guideline (as either a homeowner or renter), you may want to think about ways to lower debt to put less pressure on your budget. Use the "Debt action plan" for help.

Mortgage lenders look at your debt-to-income ratios for both total debt and mortgage debt when considering your loan application. If you're a homeowner, you can also calculate your mortgage debt-to-income ratio.

CALCULATE YOUR MORTGAGE DEBT-TO-INCOME RATIO

Your total monthly mortgage debt payment includes **only** the principal and interest on your mortgage. Your property taxes, insurance, and condo or homeowner association fees may or may not be included in your monthly mortgage payment	
Divide by **your monthly gross income** which is all of your income before taxes and insurance	÷
Multiply by 100 to calculate **your current mortgage debt-to-income ratio**	%

Here are some guidelines to think about:

MORTGAGE DEBT FOR HOMEOWNERS

28-35% or less

Consider maintaining a mortgage debt-to-income ratio of 28 to 35 percent.

If your ratio is higher than the guidelines, and you want help, consider contacting a certified HUD housing counselor. Find a certified counselor by visiting consumerfinance.gov/find-a-housing-counselor.

GETTING STARTED

Debt action plan

Picking a strategy to repay your debt can help you start reducing it and make progress toward achieving your goals.

It can be difficult to make a dent in your debt if you only pay the minimum balance every month. If you have money left over in your budget to pay more than the minimum, there are two basic strategies on how to best apply it.

You can either pay your debts from smallest to largest or focus on repaying the ones with the highest interest rate first. One strategy isn't better than the other—they each have pluses and minuses to consider.

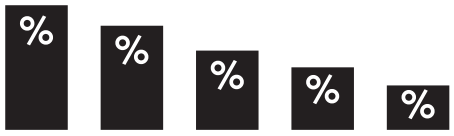
Choose the strategy that helps motivate you the most, so you feel encouraged to keep paying down the debt.

What to do

- **Pick a repayment method** that works best for you.
- **List your debts in order** based on the interest rate or the overall size of the debt.

Start reducing your debt by making a **Debt action plan**

1. Review the pros and cons of each strategy for paying down debt.
2. List your top three debts, sorted based on the strategy you chose—either by smallest total dollar amount or highest interest rate.

	PAY SMALLEST DEBT FIRST 	PAY HIGHEST INTEREST RATE FIRST 
Description	After you've made all your minimum payments, increase your payment on the smallest debt. After it's paid off, add that extra amount to your minimum payment on the next smallest debt.	After you've made all your minimum payments, increase your payment on the debt that has the highest interest rate. After it's paid off, add that extra amount to your minimum payment on the next highest-rate debt.
Pro	If you have many small debts, you might see progress quickly by reducing the number of debts you owe.	By paying off the debts that charge you the highest interest and fees first, you save money overall.
Con	If the interest rate and fees are high on your larger debts and you pay the smaller ones first, you might pay more in total over the length of the debt.	You might not feel like you're making progress very quickly, especially if the first debt is large.

I'll pay down the smallest debt first, in this order:		I'll pay down the debt with the highest interest rate first, in this order:	
DEBT	**AMOUNT**	**DEBT**	**INTEREST RATE**
1.	**$**	**1.**	**%**
2.	**$**	**2.**	**%**
3.	**$**	**3.**	**%**

MODULE 9

Protecting your Money

Learn about ways you can protect yourself and your money with practical tips and information about your financial rights and responsibilities.

At a glance

This module can help you understand your rights and responsibilities within the financial marketplace, how to protect yourself from identity theft and fraud, and what you can do if you've been affected by identity theft, fraud, or a problem with a financial product or service.

Protecting your identity

How to handle identity theft

Spotting red flags

Submitting a complaint

Introduction

When you're an empowered consumer, you understand your rights and responsibilities. There are many laws that protect you when it comes to financial products and services. It's the CFPB's job to enforce these laws and handle consumers' complaints about financial products and services.

Having a problem with a financial product or service?

You can submit a complaint and we'll forward it to the company and work to get you a response. Submit online at consumerfinance.gov/complaint or by calling (855) 411-2372.

Knowing what your rights are can help prevent you from being taken advantage of during financial negotiations and transactions. And understanding your obligations can help you avoid late fees or problems with an account.

You are also the first line of defense when it comes to protecting your financial information from fraud or theft. There are things you can do to be proactive about keeping your information safe.

Ask questions

Shopping for financial products and services is no different than shopping for other things. You want to fully understand what you're buying and that it's the right product for your own needs. Just like with any other product, you want to know if there's a hidden "catch."

Here are some tips for taking charge:

- Don't be intimidated. You're the customer. If you don't understand something, ask the bank or other financial services company to explain it again until it makes sense.
- If you want to work with a financial counselor or adviser, interview a few before choosing one. Pick someone who is interested in helping you, not just in selling you something.
- Before you sign anything or give personal or financial information about yourself to an adviser, ask questions:
    - What are your qualifications?
    - How do you get paid?
    - Ask yourself – Will this advisor work in my best interest?
- If your friends or family members give you advice or information, ask them questions like:
    - Where did you get the information?
    - Are you making any money on this?

Avoiding scams

Most of us have seen or heard something like this—offers to receive millions of dollars from a foreign prince or a lottery you didn't enter or jobs that say you can earn $80/hour while working from home. Unfortunately, if the "opportunity" appears too good to be true, it probably is.

If you run across an amazing-sounding opportunity, job, or product, do your research with a critical eye, especially if you're receiving the "opportunity" from someone you don't know by email, mail, telephone, or in-person.

If you have a debt with the IRS that's more than two years old, you might be getting a letter from the IRS about your account being transferred to a private debt collector.

Here's how you can tell you're dealing with the actual debt collector, not a scammer:

- The private debt collectors working with the IRS will never ask you to pay them directly. Instead, they'll tell you to pay the IRS electronically, or send a check, made out to the US Treasury, directly to the IRS. Anyone who says they're collecting for the IRS and asks you to make a payment over the phone is a scammer. Whether they're asking you to pay by credit or debit card, electronic check, wiring money, or a prepaid or gift card–don't do it.
- These debt collectors will never use robocalls or pre-recorded messages. You'll always speak with a live operator.
- They'll always use the authentication number that was in your letters.

To report identity theft or learn more about how to protect yourself, visit identitytheft.gov.

Con artists and scammers use creative and innovative schemes and appeals to get you to part with your money.

Follow these principles to detect con artists and scammers:

- Check the paperwork or electronic documents you are asked to sign carefully. If the promises made to you are not in the paperwork, that is a warning sign that something is wrong with the deal.
- Don't assume a company is legitimate based on the "appearance" of the website. Check reviews on multiple websites to look for patterns of customer satisfaction. Are more people happy or not overall with the service they received?
- Beware of promises to make fast profits and investments that claim to offer high returns with little or no risk.
- Contact state and local consumer agencies or state and federal licensing or regulatory agencies to see if there's a complaint against the company.

To avoid phishing:

- Don't open email spam. Don't read it, delete it. And never reply to spam or click on links inside the message.
- Don't open email attachments from people you don't know or attachments that you didn't expect to receive.
- Spammers can make an email appear as if it's coming from someone in your contacts list, so be careful not to respond to strange emails asking for help, even if it appears it's coming from someone you know. You can always start a new email message to that person and ask them if they really need help or alert them that their email address may have been hacked. Don't reply to the email, because then you could be replying to a scammer.

Also be careful about clicking on links inside emails that take you to websites that ask for personal information. Scammers can send you to fake websites to get this information from you.

If you visit a website for a financial institution or site that asks for your personal or financial information, type the website directly into the browser and look for signs that the site is secure.

A secure website has:

- A URL that begins with "https:"—the "s" at the end indicates it's secure
- A lock symbol next to the URL (🔒)
- Security authentications and certificates

Seeing the "s" at the end of "http" and the lock symbol are not guarantees that the site is legitimate. You should still be on guard for phishing or other scams. You can help prevent identity theft by guarding your identifying information carefully and only sharing it with a person you trust because you have a reason to share it.

If you think it may be a scam, you can also search for information online. Consider checking consumer.ftc.gov/scam-alerts to see if anyone else has reported a similar scam. Often scams happen on a large scale and people will be talking about them online to help warn others.

What's inside

This module has four handouts to help you learn ways to protect yourself from identity theft and scams. It also explains how you can submit a complaint to the Consumer Financial Protection Bureau if you have a problem with a financial product or service.

Here are suggestions for how to make the most of the time you have. Each handout should take less than 10 minutes to review.

10 MINUTES EACH

- Read the "**Protecting your identity**" handout for ways to guard yourself against identity theft
- Review the "**How to handle identity theft**" handout to learn what steps to take if your identity has been stolen
- Study the "**Spotting red flags**" handout to see some of the warning signs that a sales deal might be a scam
- Learn how "**Submitting a complaint**" can help you if you've had a problem with a financial services company

Protecting your identity

Help keep your identity safe by practicing online security and limiting access to your personal information.

Identity theft is when someone steals your personal information or identity to commit fraud. This could be things like your name, Social Security number, credit card number, or bank account information. Thieves can use this kind of information to rent apartments, take out loans, open accounts in your name, or put charges on your existing accounts without your permission.

Identity theft, fraud, and data breaches affect tens of millions of people in the U.S. each year. This is why it's important to be cautious with your identifying information—both online and in the real world.

CHECK YOUR CREDIT REPORT

Check your credit report at all three nationwide credit reporting companies (Equifax, Experian, and TransUnion) each year using the free website **AnnualCreditReport.com**. If you see anything in your report that's incorrect or suspicious, contact the credit reporting company and the company that furnished the information immediately. If you're concerned about past or future identity theft, you can also freeze or put a fraud alert on your credit file. See Module 7: Understanding Credit Reports and Scores for more information.

You can also opt out of receiving offers for credit or insurance, known as prescreened offers. This can help prevent credit or insurance offers that are meant for you from falling into other people's hands—these offers can then be used to take out fraudulent loans in your name. Remove your name from mailed pre-screened offers by opting out at (888) 567-8688 or online at **optoutprescreen.com**. Choose the "5-year" removal option to stop prescreened offers for five years—or make a request by mail if you want to opt out permanently. Choose the "forever" removal option. Even if you opt out of these offers, you can still apply for credit when you want it by contacting the lender directly or applying online.

LIMIT ACCESS TO YOUR INFORMATION

Don't carry your Social Security card or number in your wallet or purse. Keep it somewhere safe at home.

Remove your name from many direct mail marketers' lists by registering with the Direct Marketing Association using the online form at **dmachoice.thedma.org**. This will create fewer opportunities for thieves to steal your information.

Remove yourself permanently from most telemarketers' lists by registering your cell phone or landline number with the Do Not Call Registry at (888) 382-1222 or at **donotcall.gov**.

Never give your personal information to someone who calls you and asks for it, even if they say they're from your financial institution. If you want to confirm if the call was legitimate, hang up and call that financial institution back using a phone number you trust, like the one

on your bank statement or the back of your credit card.

Use a shredder, scissors, or your hands to tear all papers with identifying information or account numbers into tiny pieces before throwing them out. Also cut up any old or cancelled credit cards or debit cards.

Only give out your Social Security number when it's absolutely necessary. Often when someone asks for it, you are not required to give it to them.

Protect information like your mother's maiden name, which is often used as a way to verify identity with financial institutions. Be cautious of where this might appear online, so don't put it on your social media account.

PRACTICE ONLINE SECURITY

There are many things you can do to safeguard your personal information online.

Commit all passwords to memory. Never write them down (not even on a post-it by your computer!) or carry them with you.

Make sure passwords are long and include upper- and lower-case letters and numbers. Don't include any words that can be found in a dictionary or names and dates that can be associated with you (your children's names or birthdates, for example).

The best practice is to have a different password for each account. If you find it too hard to keep track of so many different passwords, have separate, longer, harder-to-guess passwords for your financial accounts.

Don't give out your financial or personal information over the Internet, unless you have initiated the contact or know for certain with whom you are dealing.

Never share identity information online unless the site is secure with an encryption program, so no one can intercept your information. **If secure, the website address will start with https, not http.** There will also be a lock symbol near the web address (🔒). A secure website is not necessarily a legitimate one. Don't let your guard down just because you see the "https" and lock symbol.

Don't use public WiFi when sending financial or personal information. And if you're using a public computer, like at your local library, never give the browser permission to save your password, always log off any website you signed into, and close the browser before you leave the computer.

Passcode protect your phone and tablet. Many people use apps on their mobile devices that save their passwords and log them in automatically, giving thieves easier access to personal information. Using a passcode helps ensure that someone else can't get into sensitive information stored on your device.

Don't reply to emails asking for personal banking information, even if they have a company logo! **Financial institutions will never ask for personal information via email.**

Spotting red flags

If you spot one of these sales tactics or red flags when you're shopping for financial products or services, think twice before you sign anything. It's always okay to walk away from a purchase if something doesn't feel right or you see a red flag.

RED FLAG	DESCRIPTION
Pressured sales tactics	You're pressured to purchase things or take out loans you don't want or can't afford
No consistency	Different staff or salespeople are telling you different things regarding pricing or other information
Won't put it in writing	No one will give you clear information in writing, even when you ask for it
Unexplained fees	No one can explain what certain fees are for or what they pay for
No clear cancellation or return policy	There's no clear cancellation or return policy—don't assume you're able to return a product or cancel a purchase
Inconsistent information on interest rates	The salesperson tells you about an interest rate, but the numbers on the form are much higher
Pushed to purchase	You are being pushed to make a big-ticket purchase immediately—if a salesperson says the offer won't still apply if you take a day to think about it, be suspicious
Steering and coercing	Aggressive sales tactics are used to steer and coerce you toward a high cost loan, even though you could have qualified for a regular prime loan
Paperwork doesn't match the sales pitch	The promises made to you by a salesperson aren't in the papers or the online documents that you're asked to sign

RED FLAG	DESCRIPTION
Confusing fine-print	A simple rule to follow is to refuse to sign anything that you don't understand
Incomplete paperwork	Never sign a contract with blank spaces to be filled in later
Additional insurance and other add-on products	Some lenders may insist on or imply that borrowers must buy unnecessary items like additional insurance, unneeded warranties, monitoring services, etc. They get incorporated into the loan amount, and the borrower pays interest on them over the life of the loan
Prepayment penalties	Prepayment penalties are fees lenders require a borrower to pay if the borrower pays off a loan early

DISCLAIMER

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